ACCRA TECHNICAL UNIVERSITY

FACULTY OF BUSINESS

ACCOUNTING AND FINANCE DEPARTMENT

INDEX NUMBER
[redacted]

END OF FIRST SEMESTER EXAMINATION, 2024/25 ACADEMIC YEAR

COURSE CODE: BAT 201 MORNING SECTION

COURSE TITLE: ADVANCED FINANCIAL ACCOUNTING

INSTRUCTIONS: ATTEMPT ALL QUESTIONS

TIME ALLOWED: 2½ HRS Reading and Planning 10 minutes

QUESTION 1

The following list of balances were extracted from the books of Kwame limited as at 31st December, 2018

Particulars	GH¢	GH¢
200,000 Ordinary shares of GH¢1 each		200,000
50,000 8% Preference shares of GH¢1 each		50,000
10% Debentures		50,000
Share premium		8,000
General Reserve		10,000
Income Surplus as at 1/1/2018		2,500
Freehold Premises	150,000	
Plant Machinery (cost GH¢300,000)	180,000	
Stock as at 1/1/2018	23,800	
Purchases and Sales	281,600	409,641
Returns	10,300	17,350
Discounts	6,450	9,250
Debtors and Creditors	30,030	20,020
Provision for doubtful debt 1/1/2018		905
Wages and Salaries	214,000	

Postage and Telephone	5,800	
Debenture Interest	3,000	
Directors fees	15,600	
Insurance Expenses	2,000	
Interim Dividends: Preference	3,000	
Ordinary	5,000	
Cash and Bank Balances	39,686	
	777,666	777,666

Additional Information:

1. Authorized share capital of the company is GH¢4,000,000, Ordinary shares of GH¢1 each and 100,000 8% preference shares of GH¢1 each.
2. Stock on 31st December 2018 was GH¢27,280.
3. During the year goods worth GH¢6,500 were lost to theft. No entry had been made in the books to reflect this.
4. Insurance prepaid GH¢200.
5. During the year plant originally costing GH¢50,000 and on which GH¢30,000 depreciation had been provided was sold for GH¢22,000. This transaction had been included as sales.
6. Depreciation has been and is to be provided on plant and machinery at 10% on cost.
7. Provision for doubtful debt is to be maintained at GH¢2,500
8. The directors wish to provide for Final preference dividend and final and ordinary dividend of 5%.

Required:

Prepare comprehensive income statement, Income surplus account and statement of financial position as at 31st December, 2018, for management use in accordance with IAS 1. Show all workings.

(40 marks)

QUESTION 2

On 1 January 2018 The Happy Haddock Angling Club had the following assets:

	GH¢
Cash at bank	200
Snack bar stocks	*800*
Club house building	*12,500*

During the year to 31 December 2018 the club received and paid the following amounts:

Receipts	GH¢	Payments	GH¢
Subscriptions 2018	3,500	Rent and rates	1,500
Subscriptions 2019	380	Extension to club house	8,000
Snack bar income	6,000	Snack bar purchases	3,750
Visitor's fees	650	Secretarial expenses	240
Loan from bank	5,500	Interest on loan	260
Competition fees	820	Snack bar expenses	600
		Games equipment	2,000

Note: The snack bar stock on 31 December 2018 was GH¢900.

The games equipment should be depreciated by 20%.

Required:

a. Prepare an income and expenditure account for the year ended 31 December 2018. Show, either in this account or separately, the snack bar profit or loss. (13 marks)
b. Prepare statement of Financial Position as at 31 December 2018. (7 marks)

(20 marks)

QUESTION 3

Kwabe Ltd was incorporated in January 2012 with 600,000 ordinary shares of no par value. The Directors offered 400,000 of the shares to the public at GH¢5 each payable for as follows:

Application	80Gp
Allotment	GH¢1.2
First call	GH¢2
Second and final call	GH¢1

Applications were received for 600,000 shares on the 10th February and Allotments were as follows on 15th February.

Category of Applicants	Shares applied for	Shares allotted	Remarks
A	100,000	100,000	FULL
B	150,000	130,000	REJECTED
C	120,000	90,000	PRO-RATA
D	160,000	80,000	PRO-RATA
E	70,000	-	REJECTED
	600,000	400,000	

A refund was immediately made to the unsuccessful applicants but moneys paid by successful applicants were held against amounts due on allotment. The allotment monies were received on 1st March. The first call was made on 29th March and all payments were expected by 28th June. The shareholders were finally requested to pay the final instalment by 25th June.

All instalments were honoured on their due dates with the exception of two shareholders who defaulted as follows:

Shareholder	Category	Shares held	Instalment defaulted
Frank	B	20,000	Second final call
Daniel	C	30,000	First & second & final call

These shares were forfeited in accordance with the company's regulations. Daniel's shares were issued to Amos at GH¢4 on July 31st.

You are required to:

a) Pass the necessary ledger entries to record the above in the books of the company.
b) Prepare the Balance sheet as at July 31, 2011. **{20 marks}**

QUESTION 4

a. Explain the difference between ordinary shares and preference shares. (5 marks)

b. Explain the following terms as used in company accounts

i) Authorized share capital

ii) Issued share capital

iii) Cumulative preference shares

iv) Participative preference shares

v) Called-up capital

(15marks)

{20 marks}

END OF QUESTIONS